GMS WEEKLY

Your Source for Recycling News

September 15tht, 2023
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Week 37

Highlights:

- **Bullish.**
- **High 500s/LDT.**
- **Pak competes.**
- **Bangla out.**
- **Supply persists.**
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QUOTE of the WEEK

"You've got to get up every morning with determination, if you're going to go to bed with satisfaction."

– George Lorimer

MARKET COMMENTARY

FOOD FOR THOUGHT!

Bullish Buyers in both, the Indian and Pakistani markets, continue to push on for another week as they manage to secure some of the recently recorded, high-priced sales from both - the dry bulk and container sectors.

Some of the recent container sales (in particular) have caught the eyes of many in the industry, especially as levels gradually edge back up into the high USD 500s/LDT (approaching USD 600/LDT), thereby providing prospective Owners of vintage units, food for thought about the potential future of their aging beauties.

India certainly has been the chief driver behind much of the recent activity, as domestic steel plate prices once again posted decent gains of about USD 13/LDT towards the end of the week. Moreover, following the conclusion of a successful G20 summit - in addition to a reported firming of international steel rates to the tune of about 2% - the overall business outlook across the country remains good – at least for the domestic Ship Recycling sector.

Pakistan is also not too far behind, with decent levels being displayed on available dry bulk units and even as L/C approvals once again start to gain some traction, especially after almost a year of being on the sidelines.

Bangladesh remains completely out of the buying, with levels down and L/C & bank approvals once again hard to come by. A decent number of well-priced Chinese-owned vessels have also been delivered and beached over the summer / monsoon months, but there seems little chance of any further deals being done below USD 500/LDT, as competing markets inch on higher.

Finally, Turkey seems to have entered into an over-extended holiday with virtually no activity being reported, and other than negative fundamentals (Lira and steel plate prices), the market has had virtually no movements being recorded for months on end.

Overall, the supply of tonnage remains decent going into sub-continent markets during Q4 of the year, with predominantly aging handy / Panamax sized dry bulk units & Feeder containers heading to the various recycling locations, in what will hopefully be a busy end to the year.

For week 37 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	India	Improving	530 / LDT	550 / LDT	570 / LDT
2	Pakistan*	Improving	520 / LDT	540 / LDT	560 / LDT
3	Bangladesh*	Weak	480 / LDT	500 / LDT	520 / LDT
4	Turkey	Weak	300 / LDT	310 / LDT	320 / LDT

**Subject L/C approval*

BANGLADESH

IRRELEVANT!

Not serious.

Following another week of minimal sales and activity accompanied by nonsensical local offerings being tabled on any available units on offer, Bangladesh has largely turned into a disappearing market, especially under the current circumstances.

Local Buyers remain convinced they can secure - even geographically positioned vessels - below the USD 500/LDT mark, when that is clearly not the case, especially as vessels are being diverted to much stronger competing markets and at levels that are in the upper spectrum of what Chattogram Buyers are currently putting forward.

Out of it.

Realistically, fundamentals are certainly there to blame for the depreciating state of local affairs, especially as local steel plate prices have started flatlining once again, all while the Bangladeshi Taka continues to gradually approach a record BDT 110 against the U.S. Dollar, as it ended the week at levels just in excess of BDT 109.5X.

As such and unexpectedly, it has remained another quiet week on the sales front for the Chattogram market, especially as it stays rooted at the foot of the sub-continent rankings table and with little hope of a recovery any time soon, given how poor local fundamentals and L/C availability currently remains.

NO MARKET SALES REPORTED

INDIA

BOOST!

India remains the best placed recycling destination for another week, with all of the recent show-stopping, high-priced fixtures heading towards Alang shores for redelivery – particularly, favoured container vessels that were committed into the high USD 500s/LDT.

Container sales.

Indeed, it was a successful recent G20 summit in which, most of the world's foremost leaders attended the forum and offered India, additional economic and political boosts for international trade in the coming years, as numerous business and infrastructure project discussions are reported to have taken place, some even reportedly headed for fruition.

Steel gains.

Steel plate prices certainly seemed to be the chief beneficiary of these discussions (in addition to global steel prices that firmed about 2% in value during the week) causing domestic plates to gain about USD 13/LDT as the week ended, in addition to the Indian Rupee that is now back down towards the Rs. 83 mark against the U.S. Dollar, leaving the domestic recycling industry on a positive footing as it firmly enters Q4 of the year.

NO MARKET SALES REPORTED

PAKISTAN

ABLE DEPUTY!

Dry bulk sales.

Pakistan remains an able and willing deputy to the leading Indian ship recycling market, as several recently concluded units have reportedly been able to head towards Gadani shores, especially as L/C restrictions & limits have seemingly eased of late.

Indeed, a majority of the recently concluded high-priced dry bulk fixtures seem destined towards a handful of Pakistani Buyers, who have managed to obtain their L/C / bank approvals in order to import vessels once again – and this has certainly not gone unnoticed.

Long year away.

Local port position has reported several, decent LDT vessels arrive Gadani's waterfront since August, and we certainly hope this trend does not slowdown (or even come to a grinding halt) anytime soon.

Fundamentals too showed signs of recovery this week as the Pakistani Rupee reported a decent improvement from PKR 301 to mid PKR 296s against the U.S. Dollar (especially after recording over a year of economically merciless declines), while local steel plate prices remain suspended and unchanged once again.

Overall, it has been a long year for the Pakistani market as Gadani Recyclers watched on from the sidelines whilst competing markets in India and Bangladesh secured most of the tonnage.

Notwithstanding, it is finally good to see a hungry and competitive Gadani market back in the saddle once again and hopefully load-balancing the tonnage distribution in the sub-continent markets.

NO MARKET SALES REPORTED

TURKEY

LONG HOLIDAY!

With the ongoing state of (ship-recycling) affairs in Turkey, there seems little this market can do to get more traction with tonnage anymore.

Traction with tonnage.

Local steel plate prices remain weak & unchanged, as the Turkish Lira is once again on the verge of breaching TRY 27 against U.S. Dollar – as it ends the week at RY 26.97.

Given the current state of EUSRR regulations & a severe lack of available tonnage that is doing the most damage to the Turkey's domestic ship recycling economy, coupled with local offerings that still leave much to be desired (especially in the face of a firming India / Pakistani market), it maybe that the variance in prices will likely give prospective Owners, pause in considering recycling levels into Turkey.

TRY 27?

NO MARKET SALES REPORTED

INTERESTING FACTS

- *Antarctica is the coldest, windiest, and least populated continent in the world. It also is the only continent that contains no countries.*
- *Africa is the continent with the most countries. It contains the world's longest river, the Nile, and it also contains the Sahara Desert, one of the largest deserts in the world.*
- *South America contains the highest point on the earth, on Mount Chimborazo in Ecuador.*
- *Plants spread seeds in many ways such as gravity, wind, hooks, animals, pepper pot, exploding, or floating.*
- *The largest seed in the world is the double coconut. It measures up to 1.6 feet (50 cm) around the middle.*
- *There were frozen seeds found in Canada, thought to be over ten thousand years old, and when they were defrosted and planted, they still grew.*
- *If a seed is planted upside down, it will still grow right side up because seeds can sense gravity.*
- *Some orchid seed pods hold over three million seeds inside of them.*
- *If you shine a light on a plant from a sideways angle, the plant will grow towards the light, and you'll end up with a sideways plant.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
October 02 – Mahatma Gandhi Jayanthi October 24 – Vijaya Dashami October 31 – Sardar Vallabhbhai Patel Jayanthi	September 14 – September 20 September 26 - October 05 October 14 – October 20 October 26 – November 03

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
September 28 - Eid-e-Milad-um-Nami October 24 – Durga Puja	September 14 – September 17 September 08 – October 01 October 13 – October 16 October 27 – October 30

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
September 29 – Mid-Autumn Festival October 01 – 06 – National Holiday	September 28 - Eid-e-Milad-um-Nami October 24 – Founding Day	**No Holidays in September** October 29 – Republic Day

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of September 15, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Aldo	1,740	Supply	Beached September 14
2	Insta	3,000	Diving Vessel	Beached September 15
3	Zefyros Reefer	4,731	Reefer	Beached September 08
Total Tonnage		**9,471**		

CHATTOGRAM - Port Position as of September 15, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Abdullah	7,528	Bulk Carrier	Beached September 11
2	Ang Fan	10,934	Bulk Carrier	Beached September 11
3	Dapitan Bay 1	5,249	RoRo / Cargo	Beached September 11
4	Hally	9,379	Bulk Carrier	Arrived September 08
5	Kema	2,950	General Cargo	Arrived September 07
6	Nautica Muar (Under Tow)	12,126	Tanker	Arrived September 09
7	Patcharawadee 11	1,061	LPG	Beached September 14
8	Young Sheng 19	1,118	Tanker	Beached September 13
Total Tonnage		**50,346**		

GADANI - Port Position as of September 15, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Gloria 1	11,259	Bulk Carrier	Beached September 13
2	Sotiria	11,608	Bulk Carrier	Arrived September 11
Total Tonnage		**22,867**		

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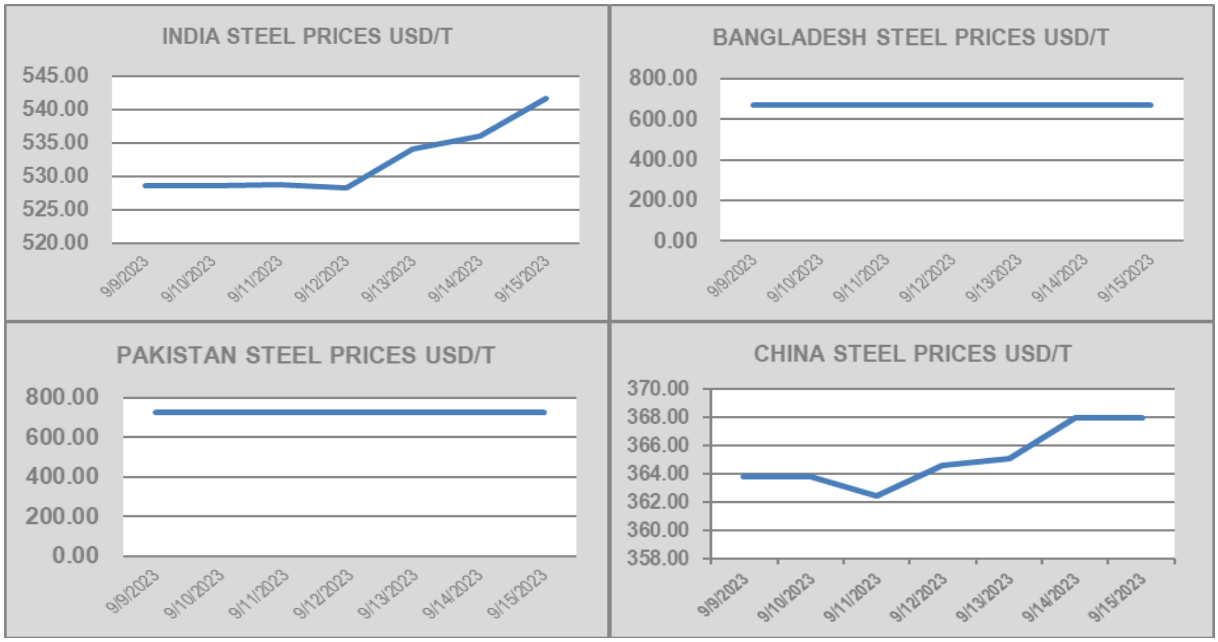
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
9/9/2023	528.60	43,900.00	725.49	222,000.00	672.81	73,000.00	363.83
9/10/2023	528.60	43,900.00	725.49	222,000.00	672.81	73,000.00	363.83
9/11/2023	528.72	43,900.00	725.49	222,000.00	672.81	73,000.00	362.45
9/12/2023	528.22	43,800.00	725.49	222,000.00	672.81	73,000.00	364.65
9/13/2023	534.12	44,300.00	725.49	222,000.00	672.81	73,000.00	365.12
9/14/2023	535.95	44,500.00	725.49	222,000.00	672.81	73,000.00	368.01
9/15/2023	541.71	45,000.00	725.49	222,000.00	672.81	73,000.00	368.01



www.gmsinc.net
GMS_Leadership
GMS Leadership
snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311